Case Study: UPI / Online Payment Fraud

What Is It?

UPI (Unified Payments Interface) fraud is one of the most rapidly growing cybercrimes in India. It involves deceptive tactics used by fraudsters to trick victims into approving unauthorized payment requests or sharing sensitive credentials, resulting in financial loss.

How It Typically Happens – Step by Step

1. **Initial Contact**: The fraudster contacts the target via phone, WhatsApp, or social media, posing as a bank official, a customer care representative, or a known buyer/seller (on platforms like OLX or Facebook Marketplace).
2. **Creating Urgency or Trust**: The fraudster creates a sense of urgency – "Your account will be blocked," "I am sending you a refund," or "I need to verify your UPI ID" – to lower the victim's guard.
3. **Sending a Collect/Payment Request**: Instead of transferring money, the fraudster sends a **collect request** on the victim's UPI app. The victim, believing they are about to *receive* money, approves the request and enters their UPI PIN.
4. **Money Transferred Out**: The moment the PIN is entered, money is instantly debited from the victim's account and transferred to the fraudster's account.
5. **Disappearance**: The fraudster immediately becomes unreachable and may withdraw or transfer the money further to avoid tracing.

Who Is Usually Targeted?

- College students and young adults unfamiliar with UPI mechanics
- Online marketplace buyers and sellers
- People expecting refunds, scholarships, or reimbursements
- Elderly individuals less familiar with digital transactions

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Consequences

- Immediate financial loss (cases ranging from ₹500 to several lakhs have been documented)

- Emotional distress, anxiety, and loss of trust in digital platforms
- Difficulty recovering funds due to the real-time nature of UPI transactions
- In some cases, victims are manipulated into multiple transactions before realizing the fraud

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Source Reference

National Cyber Crime Reporting Portal – cybercrime.gov.in
Reserve Bank of India Digital Payment Safety Guidelines – rbi.org.in

Note: The scenario described above is a realistic composite based on publicly reported patterns and RBI advisories, not a single specific incident.